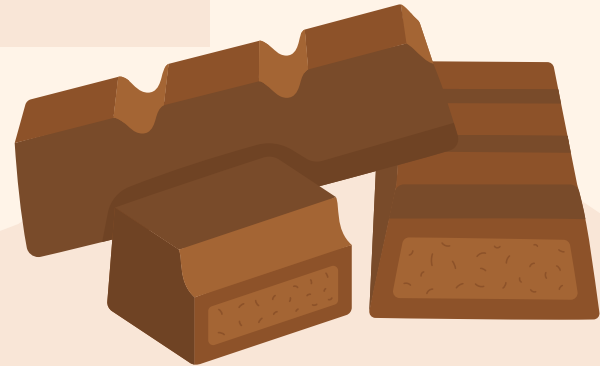


FERRERO ROCHER

Eliminating Child Labor

Presented by: Brayan Costa





The Persistent Ethical Challenge in Cocoa Sourcing

- Over **60% of Ferrero's cocoa** is sourced from Côte d'Ivoire and Ghana.
 - Around **70% of global cocoa production** involves child labor, often hazardous.
 - Weak traceability and lack of formal monitoring systems make enforcement difficult.
 - Ongoing exposure to these conditions damages Ferrero's **reputation, consumer trust, and brand equity**.
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Cacao Supply Chain: Step-by-Step

1. FARMERS



Farmers who cultivate cocoa beans. Côte d'Ivoire and Ghana are responsible for 70% of global cocoa production.

2. MIDDLEMEN



Middlemen, including brokers and licensed buying agents, purchase cocoa beans from the farmers. They then sell these to cooperatives, exporters, processors or other traders.

3. EXPORTERS



Middlemen often handle the complex paperwork and documentation required for international trade.

Key Exporters:

- Cargill
- Olam Int.
- Barry Callebaut

Exporters are responsible for transporting cocoa beans from producing countries to processors and manufacturers worldwide.

6. CONSUMERS & RETAILERS



Consumer demand for chocolate drives the entire process.

4. CHOCOLATE COMPANIES



Example: Nestlé, Mars, Hershey's, Mondelez, and Ferrero

Major chocolate companies use semi-finished cocoa products to create a wide range of chocolate goods.

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4. PROCESSORS



Key Exporters:

- Cargill
- Olam Int.
- Barry Callebaut

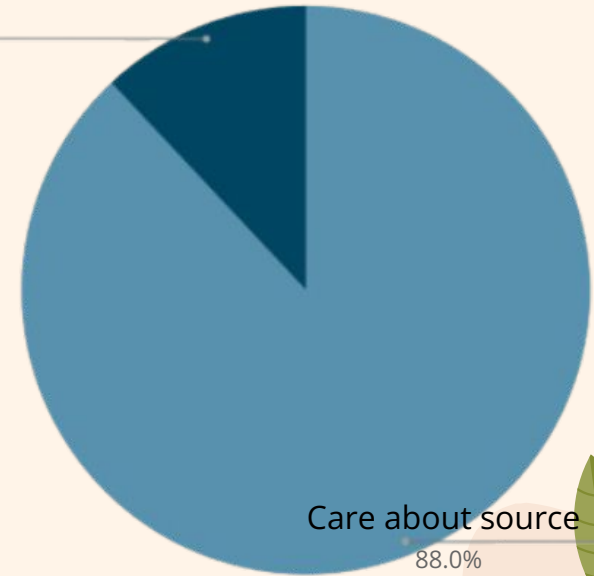
Cocoa processors transform raw cocoa beans into semi-finished products like cocoa liquor, butter, and powder.

The Ethical and Financial Impact

- Consumers increasingly demand child-labor-free products.
- Ethical sourcing directly affects brand loyalty and market competitiveness.
- Addressing this issue supports Ferrero's corporate social responsibility goals and long-term sustainability.

Consumers Interest In Origin of Products

Do not mind
12.0%





Proposed Solution

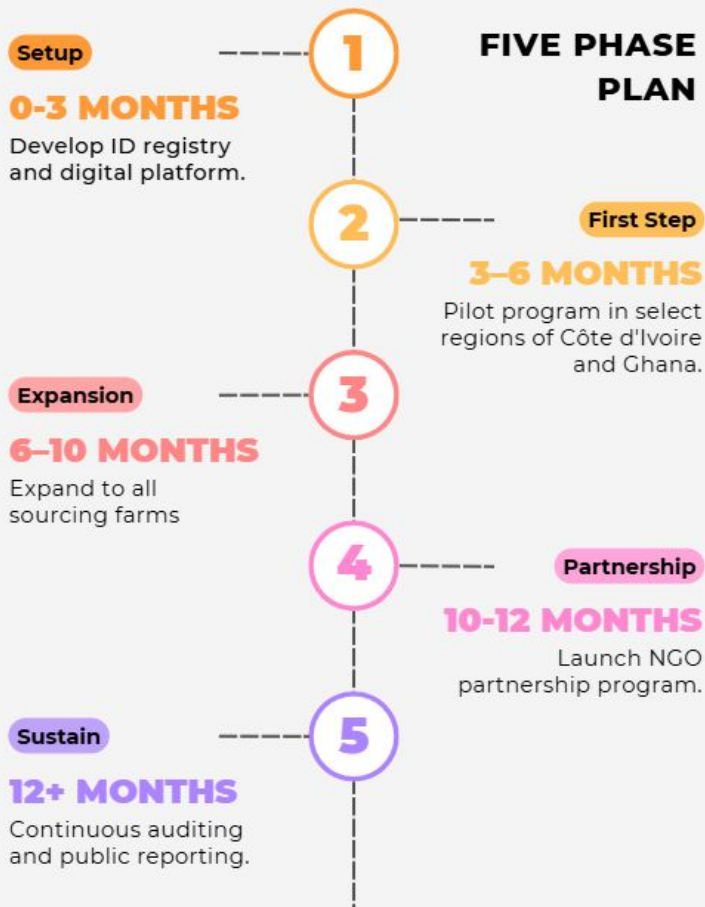
ID-Based Farm Traceability

- Assign unique IDs to each cocoa farm to track compliance and sourcing.
- Create a “whitelist” system for verified ethical farms and blacklist those violating standards.

NGO Partnerships

- Partner with local and global NGOs to conduct regular audits and community education programs.
 - Reinforce ethical standards through financial incentives and premium pricing.
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TIMELINE





Financial Impact & Benefits

- Studies show consumers are willing to pay >2.81% more for verified ethical chocolate.
 - Premium pricing offsets implementation costs while strengthening Ferrero's brand trust.
 - Improved worker livelihoods reduce long-term supply instability.
 - Solidifies Ferrero as a guaranteed ethically sourced brand.
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Our Responsibility

- Ferrero has the opportunity and responsibility to lead the global cocoa industry toward an ethical, transparent, and sustainable future.
- Let's commit to a Child Labor-Free Ferrero by 2027.

